8. Federal and State Income Taxes

Income tax expense (benefit) consists of the following:

Year ended December 31,	2003	2002	2001
	(in thousands)		
Current:			
Federal	$3,306	$ 4,002	$3,087
State	875	793	748
Foreign	756	573	365
Current	4,937	5,368	4,200
Deferred:			
Federal	(3,618)	(2,341)	925
State	(1,161)	(424)	333
Foreign	-	25	100
Deferred	(4,779)	(2,740)	1,358
Total provision for income taxes	$ 158	$ 2,628	$5,558

A reconciliation between income taxes computed at the statutory federal rate and income tax expense (benefit) is as follows:

Year ended December 31,	2003	2002	2001
Federal income tax rate	(34.0)%	34.0%	34.0%
State income taxes, net of federal benefit	(6.3)	7.7	7.1
Nondeductible goodwill impairment charges and goodwill amortization	42.3	33.5	8.8
Foreign income taxes, net of federal benefit	2.5	(0.1)	3.3
Reconciliation to prior years tax filings	3.8	(11.6)	-
Other permanent differences	(3.4)	(0.2)	1.6
Other, net	(0.1)	-	(0.8)
	4.8%	63.3%	54.0%

Taxable income earned outside the United States of America was approximately $1.9 million, $1.7 million and $1.0 million for the three years ended December 31, 2003, 2002 and 2001, respectively and was primarily generated from operations in Thailand. During the fourth quarter of 2003, upon final completion and assessment of the Company's reconciliation of prior year tax filing, the Company recognized a benefit for the treatment of certain 2002 tax benefits, which were not estimable at December 31, 2002.

The Company's net deferred assets and liabilities were as follows:

December 31,	2003	2002
	(in thousands)	
Deferred tax assets:		
Allowance for doubtful accounts	$ 745	$ 578
Intangibles	7,294	2,812
Inventory reserves/valuation	2,977	2,590
Warranty reserve	549	390
Accrued severance and other acquisition costs	80	382
Accrued compensation costs	925	945
Supplemental retirement plan	872	815
Accrued expenses	537	442
Accrued lease costs	188	208
Other	319	237
Total deferred tax assets	14,486	9,399
Deferred tax liabilities:		
Pension	(1,454)	(1,526)
Excess depreciation	(3,067)	(3,157)
Total deferred tax liabilities	(4,521)	(4,683)
Net deferred tax asset	$ 9,965	$ 4,716